UNSW THE UNIVERSITY OF NEW SOUTH WALES SYDNEY · CANBERRA · AUSTRALIA | Law

2026 – LAWS1150 | JURD7150
Principles of Private Law

Introduction

Agreement: Offer

Week 1A

Introductions

Mr Hasan Mohammad

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Best way to reach me is in person before or after class, or by email. I will attend to your email as soon as practicable, but if you do not hear from me within two business days, please send me a polite nudge.

1. Housekeeping and Administration
2. The Course
   - **Contract – casebook (required reading)**
   - **Principles of Contract Law (recommended)**
   - **Property – customised book**
3. Assessment
   - **Participation – ongoing (20%)**
     - **10% - general participation**
     - **10% - 'on call' participation**
   - **Mid-term Assignment (30%)**
   - **Final Exam (50%) (Exam period)**
4. General Moodle Page
   - **Course Outline**
   - **Readings**
   - **Mid-term assignment**
5. Additional information for my class
   - **Slides**

Communication and Questions

- Questions in class (preferred), or before or after class.
- Consultation by appointment: please email me.
- Moodle – If you encounter any problems contact: https://student.unsw.edu.au/moodle-support
- PowerPoint slides will be available on Moodle after class under the "Hasan Mohammad's class" tab
- All class handouts/announcements will be posted on Moodle

Assessment

- **Class participation** (20%): Ongoing – 50% structured (**on-call system from Week 2 onwards**) and 50% unstructured (general participation)

- **Mid-term assignment** (30%): Problem question focusing on the contracts section of the course

- **Take home exam** (50%): Problem question + essay question (all components of course assessable, two-hour in-person exam during the University Exam Period.

Refer to the ***UNSW Law & Justice Assessment Procedure and Student Information*** on Moodle for penalties on word limits and late submission.

*Subject to further announcements. Please check Moodle regularly!

Class participation marks

20% - This will come from:

- The quality of your engagement with the course material as demonstrated in class.
- Further details will be posted on Moodle in week 2
- It will help me attribute CP marks if you introduce yourself clearly every time you speak in class **AND** provide your name in bold text on a paper name placard in front of you during every class
- Feedback on class participation is given collectively in class - e.g., when I highlight examples of good participation, or respond to the substance of a student's comment.
- If you are unsure about how your participation is going during the course of the term, feel free to email me.

Readings and Prescribed Texts

Prescribed texts

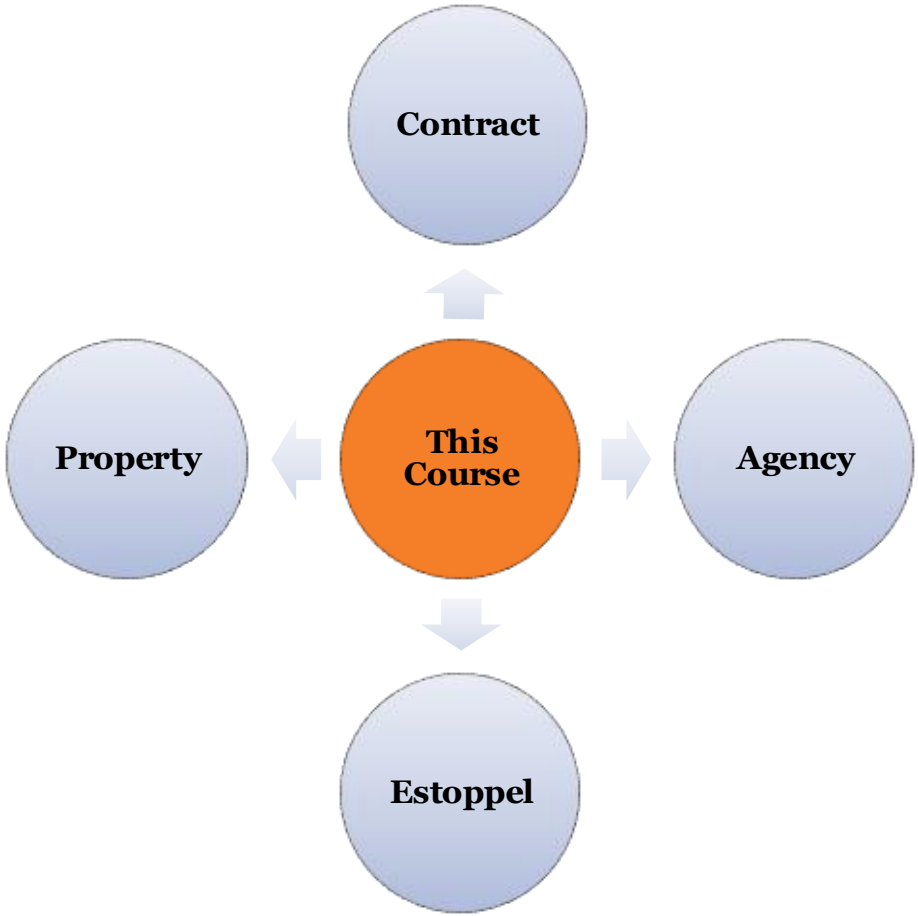
- Andrew Robertson and Jeannie Paterson, Contract: Cases and Materials (Lawbook Co, 15th ed, 2025) (known as the Contracts Casebook) – This is referred to in the Reading Guide as the 'Contracts Casebook'. You will need it for Weeks One to Four and then again in Week Nine.

- Principles of Private Law: A Custom Publication for the University of New South Wales (3nd edition, LexisNexis, 2026) – This is referred to in the Reading Guide as the 'Custom Publication'. You will need this for Weeks Five to Ten.

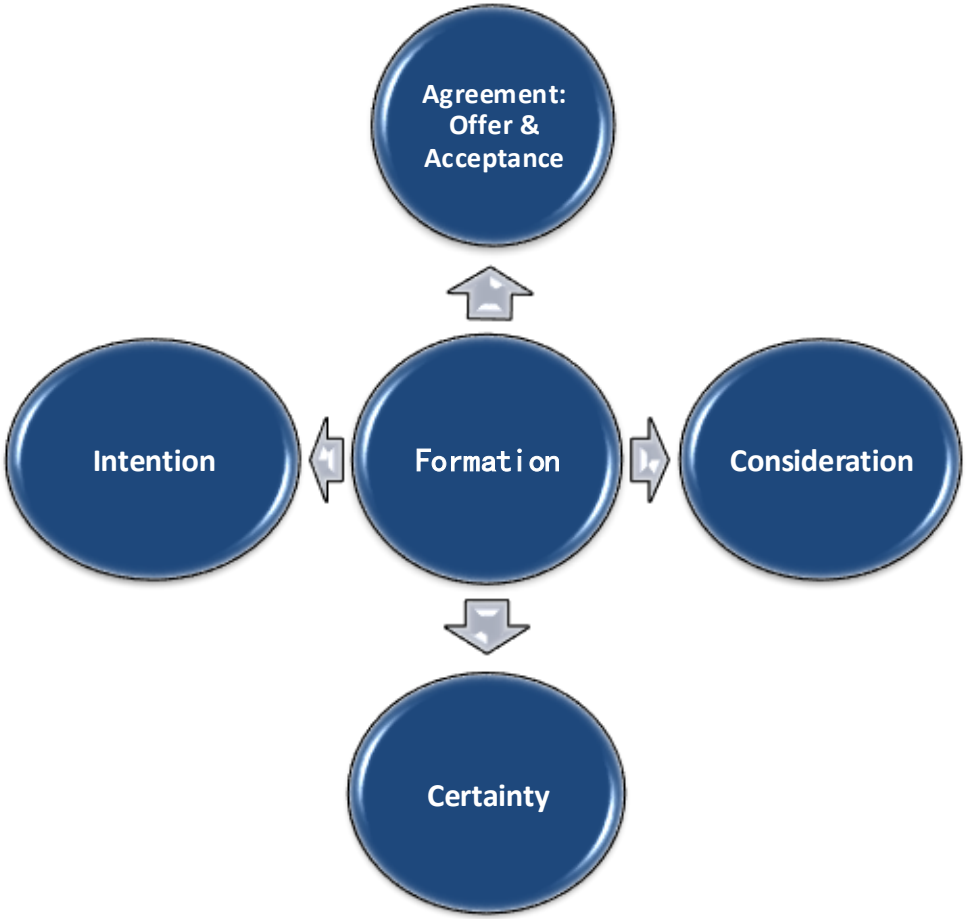
Highly recommended Texts

- Andrew Robertson and Jeannie Paterson, Principles of Contract Law (Lawbook Co, 7th ed, 2025) – This is referred to in the Reading Guide as the 'Contracts Textbook'.

STRUCTURE OF THE COURSE



Elements of a binding Contract



What is an offer?

- Must contain an invitation/ a proposal/ an option that the other party can accept or reject

- What stage are the negotiations at? – you must manifest an intention to be bound by acceptance – think of it as the point where the parties reach the shaking hands stage

- It overlaps with the other elements of contract:
  - Eg: Cannot be an offer if there is not an intention to create legal relations

UNILATERAL contract cf a BILATERAL contract - differences

- Differences in how each is *created*
- Bilateral contract – contract is made by exchange of promises to do something – then the parties do what they agreed– eg *Gibson v Manchester City Council*
  - When first made, a bilateral contract will be executory – that refers to stage of contract performance
- Unilateral contract – one in which the act of acceptance of the offer is also the performance – see *Mobil Oil Australia v Wellcome International; Carlill v Carbolic Smoke Ball Company* cases
- Offer is made by the offeror and is accepted by doing or refraining to do the act that is requested by them – eg the full ct in *Mobil Oil* – eg of the offer of a reward for return of a lost item
- There is no exchange of promises, the offeree has a choice of whether to perform. If they do perform then the offeror is bound to perform

Gibson v Manchester City Council

[1979] 1 WLR 294

What were the facts?

What do you think might constitute an offer in this case?

What did the different Judges say?

CA (lower court): Denning and Ormrod J – contract had been formed

House of Lords: Lord Diplock: none of the pieces of communication could be construed as an offer that had been accepted.

This is a situation when court should apply the conventional approach of offer and acceptance – thus, no contract.

- What was the decisive factor in the court's decision on whether there was an offer made by the Council?

- Practical thought: What words can be used to advance negotiations without committing to a promise?



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Carlill v Carbolic Smoke Ball Company [1893] 1 QB 256

- - What is a unilateral contract?
- - Did the court treat the advertisements as an offer or an invitation to treat?

Carlill v Carbolic Smoke Ball Company [1893] 1 QB 256

- ***Carbolic* argued:**

1. Mere puff?

- Court rejected

- Can't have a contract with the whole world – yes but this was an offer made to the whole world, capable of being completed with anyone who accepted the condition

2. Couldn't be a contract because acceptance had not been notified – that is true for bilateral contracts, but this was a unilateral contract

- Unilateral – the offeror may show they do not need notification of acceptance prior to performance – eg reward offer

Carbolic also argued

3. too vague to be construed as an offer (ie not sufficiently certain)

- Ct says the instructions were sufficiently clear – even though there is more than one possible interpretation of the advertisement

4. There was no consideration by the offeree

- Lord Lindley says both detriment and benefit existed

MacRobertson Miller Airline Services v Commissioner of State Taxation (WA) (1975) 133 CLR 125

- Passenger was told the availability of fare, paid for it and was handed a ticket that contained conditions – then on day of flight they turned up to take flight …
- When was the contract formed?
- Stephen J: looked at acceptance
  - ? When customer paid fare
  - ? When airline handed ticket to customer
  - Ticket contains terms and conditions – how can passenger be taken to have read and agreed to the terms before they received the printed ticket?
  - A different analysis has been developed by ct:
  - Ticket seen as **offer**
  - Contract made on acceptance of that offer by passenger
  - In this situation there was a delay between getting ticket and taking flight – the passenger had a chance to read the conditions and accept or reject them
  - So **acceptance** occurs by the passenger's conduct – by boarding the flight or when they have had a reasonable time to read the conditions and have not rejected the offer

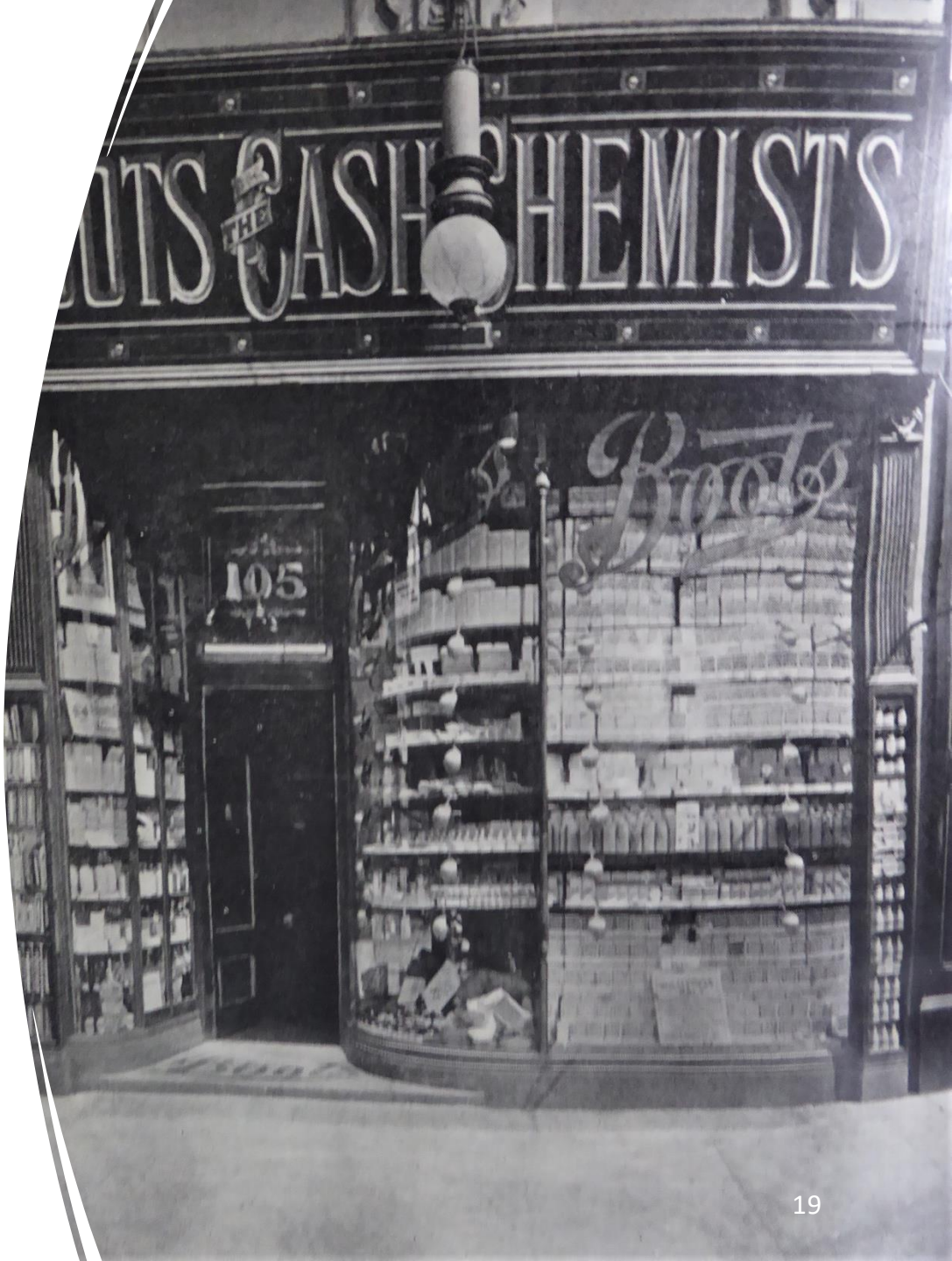
MacRobertson Miller Airline Services v Commissioner of State Taxation (WA)

- Barwick CJ – was concerned with **consideration**
- Consideration = both parties must bring something valuable to the bargain
- It must be a promise to do something valuable, not illusory (wk 2)
- He found the airline was making an illusory promise
- It did not assume any obligation to carry the passenger – 'we promise to fly you unless we choose not to'
- There was no promise, therefore no contract
- Airline not in a contractual situation with the passenger until they flew the passenger

- To what extent the reasoning of Barwick CJ and Stephen J differ? Which one do you prefer?

Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd [1953] 1 QB 401

- Facts?
- What is the difference between an offer and an invitation to treat?



Pharmaceutical Society of Great Britain v Boots Cash Chemists (Southern) Ltd [1953] 1 QB 401

- When is a contract formed in a self-serve shop?

- Either – accepted by customer when they put the goods in their trolley?
- Or – customer makes the offer when they get to the cash register, makes an offer to purchase and the offer is accepted by the sales-person.

- Held: putting the goods in the trolley is an invitation to treat?

Does an offer, once made, last for ever?

- In general, can an offeror withdraw an offer before the expiry of the specified open period of the offer?
- Yes, at that stage you do not have a binding contract unless the offer has been accepted.

How can an offer come to an end?

1. Lapse after X time or a reasonable time if nothing stipulated
2. A failure of a condition
3. Where an offer has been rejected by the other party – rejection terminates the offer, not available to be accepted any longer
4. Offer can be withdrawn or revoked any time to when it is accepted – even if you had promised to keep the offer open - BUT – see next slide

BUT…

- Point 4 in previous slide is different if you have separately given consideration for me to keep my offer open – paid $ for an option to purchase. This is what the *Goldsbrough Mort & Co v Quinn* case is about

- Withdrawal of the offer needs to be effectively communicated

- If you make an offer then withdraw it, that can mess with the other party's situation so the other party may have an argument against you in the equitable action of estoppel.

Goldsbrough Mort & Co v Quinn (1910) 10 CLR 674

- In general, can an offeror withdraw an offer before the expiry of the specified open period of the offer?

- Facts: Quinn gave appellant an option to buy 2,590 acres @ 1.10UK per acre exercisable within 1 week
- GM provide 5 shillings consideration
- Quinn made a mistake, told GM's solicitor before week expired, before offer accepted
- GM accepted the offer without being told of the mistake
- GM sought specific performance
- An agreement to agree or was it a conditional offer

- Held: What did the High Court find? Why?

Withdrawing an offer – different for bilateral and unilateral contract

- Unilateral –more complicated because unilateral contracts are accepted through an act that is both acceptance and performance – that act can occur over a period of time – gap between acceptance and performance

- Can't withdraw an offer once it has been accepted – but can you withdraw an offer in the gap

- Eg reward for pushing car round Australia – you push it from Sydney to Perth – can you revoke the offer when it has been partly performed? See ***Mobil Oil*** case

Mobil Oil Australia Ltd v Wellcome International Pty Ltd (1998) 81 FCR 475

Facts: 9 for 6 years – offer at 1991 convention

- 1992 and 1993 Mobil changed managers, abandoned the deal
- 1996 – Mobil completely abandoned the Circle of Excellence scheme making it impossible for franchisees to achieve 9 for 6
- Did Mobil make an offer to the franchisees?

- Trial J accepted dealers' argument re unilateral contract argument

- Appeal Court said promise too vague to give rise to contractual obligations – so, no offer

- Here are their reasons for rejecting the universal rule that offeror can withdraw the offer: see [501]

- This will be evaluated on a case by case basis

Peach decides to sell her motorbike. She locks it to the front of her house with a sign that says:

- For Sale
  $2,000
  Includes spare front wheel.
  Recently serviced.

- Contact Peach on 0412 345 678 / peach@gmail.com.



Jonathon emails Peach saying:

- Dear Peach,
  I saw your advertisement for the motorbike and accept your terms.
  Let me know how you would like to receive payment of the $2,000 and when we can meet for me to collect the motorbike.
  Jonathon

- Is there now a contract?

Revision of basic concepts

Concept	Definition
Offer	An expression of willingness to enter into a contract on specific terms.
Invitation to treat	An invitation for others to make an offer or enter into a negotiation.
Unilateral contract	A contract in which the offeree accepts the offer by performing their side of the bargain. It is unilateral because one party has performed his or her obligations by the time of formation, only the other party is ever under a contractual obligation.
Bilateral contract	A contract in which both parties are under a contractual obligation to perform their side of the bargain at the time of formation.